

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DEED

Date: 5/18/2026

Bill Number: HB 28

Short Title (as it appears on BASIS): TEACHER/STATE EMPLOYEE STUDENT LOAN PRGRM

What action do you recommend the Governor take?

Select one.

☐ SIGN ☐ VETO ☒ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

This bill does not directly add value to student learning; however, several elements support schools in ways that align with the GOA's education priorities. The most favorable provisions include the energy relief grant program, which provides financial support to school districts by helping offset rising utility and operational energy costs. This is favorable to the GOA because it directs funding toward demonstrated district needs. Additionally, the provision allowing retired teachers to be rehired at regional resource centers provides greater flexibility in certification and staffing, which is also favorable to the GOA.

The remaining provisions in the bill are not problematic, but they do not directly advance student learning or achievement. Nevertheless, if the GOA is seeking education legislation that does not negatively impact parent choice, this bill may represent the most neutral option.

HB 28 could appropriately become law without signature, as it does not include the Tribal Compacted school language sought by the GOA. However, if a broader compromise is needed to

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support collaborative work on legislation in another sector, the GOA could also choose to sign the bill.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

HB 28 creates an energy relief grant program for school districts, allows districts to retain certain correspondence study materials when students withdraw, reduces the number of years a school must remain closed to qualify for consolidation protections, limits annual growth of the required local contribution to five percent, expands services that may be provided by regional resource centers, and establishes a teacher student loan repayment pilot program.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1 – Requires district to file an annual report that includes school district energy cost. Each district will include actual expenditures for the preceding four fiscal years and any amount distributed through a grant program.

Section 2 – Establishes a district energy grant program reimbursing the prior three year average subject to appropriation. This is established for municipal and REAA districts. MEHS is not included.

Section 3 – Allows districts to collect textbooks, equipment and curriculum material from correspondence students when a student ceases to be enrolled if the material is the type that would be returned by a student in a physical school.

Section 4 – Includes language to make sure districts provide the information necessary to qualify for district energy grants.

Sections 5 – Adjusts the district foundation calculation. It reduces the number of years, from seven to four, that a district must maintain a school closure to be eligible for the consolidation funding factor. This section restricts the required local contribution not to exceed five percent of the districts prior fiscal year.

Section 6 - Amends AS 14.20.136(a) to include regional resource centers, as established under AS 14.12.150, among the entities permitted to reemploy retired educators. This modification allows retired teachers to return to work through these specific centers while maintaining their retirement status, subject to existing statutory guidelines.

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Section 7: Amends AS 14.20.136(b) requires both school districts and regional resource centers to certify the nature of a retired teacher's reemployment. To ensure compliance with retirement system regulations, the employing entity must verify that no pre-existing agreement or arrangement for reemployment was made with the teacher prior to their retirement.

Section 8: Amends AS 14.20.136(c) to mandate that regional resource centers adhere to the same reporting protocols as school districts when hiring retired teachers.

Section 9: Amends AS 14.20.136(e) to require regional resource centers to follow the same compliance standards as school districts regarding the policies and actions established in this section. This amendment ensures that administrative procedures, such as performance evaluations and verification of retirement status, are applied uniformly.

Section 10: Amends AS 14.25.043(f) to include regional resource centers in the administrative framework governing the Teachers' Retirement System (TRS). This amendment ensures that regional resource centers follow the exact same requirements as school districts regarding retirement benefits, salary deductions, and the crediting of service for reemployed retired teachers.

Section 11: Amends AS 14.25.043(g) to extend health insurance requirements to regional resource centers for reemployed retired educators. Under this provision, regional resource centers must offer group health plan coverage to eligible members on the same terms and conditions as those provided to active teachers within a school district.

Section 12 –Adds a new section; STUDENT LOAN REPAYMENT PILOT PROGRAM

(a) The Alaska Commission on Postsecondary Education will develop and administer a teachers' student loan repayment pilot program. Subject to appropriation the commission may award a grant to a student who;

(1) Is a full-time certificated teacher in a public school to teach special education, English as a second language, science, technology, engineering or mathematics;

(2) Has completed a postsecondary degree or certificate program;

(3) Has an outstanding student loan as described in 26 U.S.C. 108(f)(2); and

(4) Has exhausted all other eligible federal and state student loan repayment programs.

(b) The commission shall

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- (1) Establish an application process;
 - (2) Implement policies to determine efficacy of the program towards improving recruitment and retention rates of grant recipients; and
 - (3) Evaluate the effects of the program on employee recruitment and retention in the report required in this Act.
- (c) Commission may require refinancing the outstanding student loan with the commission to participate in this program.
- (d) Payable upon completion of the person’s contract term.
- (e) A Person may receive a grant each year for a maximum of three years and may not exceed \$5,000 each year.
- (f) Grants may be awarded each fiscal year not to exceed \$1,000,000 per fiscal year. Amounts may be reduced pro rata if the appropriated amount is insufficient to meet the amounts awarded.
- (g) The Commission may adopt regulations to implement the program.
- (h) Identifies “commission” as the Alaska Commission on Postsecondary Education.

Section 13 – Pilot program report due December 31, 2028.

Section 14 – Applies section 6-11 to new contracts.

Section 15 – Repeals Student Loan Repayment Pilot Program June 1, 2030.

Section 16 – Sec. 13 (prior program report due December 31, 2028) repealed January 1, 2029.

Section 17 – Establishes an effective date for the Local Contribution Cap in Section 5 as July 1, 2026.

Section 18 – Sec 1, 2 & 4, School District Energy Grants, effective July 1, 2027.

Section 19 – All other sections take effect immediately.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any

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“rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

SB 204 Sub. Teaching; School Board Eligibility was amended into the bill in Senate Finance.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support

Kerry Thomas -- ACPE

Bridgett Weiss -- University of Alaska College of Education Consortium Liaison

Note: The version of the bill that was supported was changed drastically several times since both supporters testimony.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Not Applicable

Commissioner's Signature: _____



Date: 5/19/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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